GST Exemption Thresholds and Special Supplier Rules for MSMEs

Issuing Authority: Goods and Services Tax Network (GSTN), Ministry of Finance, Govt. of India

1. Statutory Registration Thresholds for Small Businesses

Under Section 22 of the CGST Act read with Notification No. 10/2019-Central Tax, the mandatory registration threshold for intra-state suppliers of goods is fixed at Rs. 40 Lakhs aggregate annual turnover. For suppliers of services, the threshold remains at Rs. 20 Lakhs (Rs. 10 Lakhs for special category states). Micro-enterprises operating below these limits are completely exempt from GST registration, filing, and compliance liabilities.

2. Intra-State E-Commerce Concessions for MSMEs

Unregistered micro-enterprises and small traders making intra-state sales of goods through E-Commerce Operators (ECOs) are exempt from mandatory GST registration under Notification No. 34/2023-Central Tax, provided their aggregate turnover does not exceed the standard registration threshold. They obtain a unique Enrollment ID generated on the GST portal without taking a formal GSTIN.

3. Relief on Bank Account Attachments and Provisional Assessments

CBIC circulars provide special protection for MSME bank accounts during provisional attachments under Section 83. Attachments are restricted strictly to the disputed tax liability, preventing total freezing of business operating capital and ensuring continuity of enterprise operations.

4. Reversal and Input Tax Credit (ITC) Safeguards

Small buyers dealing with registered suppliers are granted flexible ITC reconciliation under Rule 36(4). Micro and small buyers facing delayed vendor filings receive auto-populated GSTR-2B statements with streamlined rectification windows.